

OVERCOMING INERTIA



AP PHOTO: MUSTAFA QURAISHI

INDO-RUSSIAN TRADE STANDS at a modest \$3 billion, far short of the potential. It still is dominated by the traditional tea, textiles, Metals and arms mix.

DANCE WITH ME: Manmohan Singh at the Year of Russia in India

When Russian telecom giant Sistema wanted to enter the Indian market via a joint venture three years ago it had to go back frustrated. Sistema chairman Vladimir Evtushenko, recalls: "At that time we didn't know the people, the legislation and everything looked strange and foreign." The hardest thing he had to do was overcome the inertia that had set in relations between the two countries after the fall of the Soviet Union. But with profits of Russian companies on the decline in Europe and India looking an increasingly attractive market, Evtushenko persisted learning about "India's tradition and people" and, "though we wanted to jump the clock, if something took the time it did, we had to build the strength to wait." Last year Sistema finally tied up with the Delhi-based Shyam Telelinks and is poised to enter the Indian telecom market in a big way.

Businessmen from both the countries face similar hurdles as they make a serious bid to overcome years of suspicion and apathy to revitalise Indo-Russian trade ties. Since Vladimir Putin took over as President in 2000, relations between the countries have improved with the heads of states meeting every year. That has seen a flurry of investments with the Tatas moving in with their array of cars, trucks and buses. Meanwhile, Infosys has entered into an agreement with URALSIB Financial Corporation, Russia's banking conglomerate, to develop software for its core banking needs. Indian pharma giants like Ranbaxy, Dr Reddy's and Wockhardt have set up base in Russia to cash in on the lu-

crative retail market for drugs. In the energy sector, ONGC has acquired a 20 per cent stake in the Sakhalin-1 oil and gas project. And Russia is building two 1,000 MW nuclear power plants in Koodamkulam in Tamil Nadu.

Apart from Sistema, other Russian giants too have been investing in Indian joint ventures in titanium and heavy industrial gear production. Russians are also investing big in refurbishing ageing Indian steel companies. But the trade figure between the two countries was a modest \$3 billion last year and trade continues to be dominated by the traditional tea, spices, metals, defence and arms mix.

In the defence sector, Russia and India have tied up to jointly develop a multi-role transport aircraft, apart from an advanced fighter jet. But relations soured after Russia demanded more money than was agreed upon earlier for refurbishing the aircraft carrier *Gorshkov*. In the space sector though, relations have improved. Last year India and Russia inked an agreement to jointly work on a lunar mission. Earlier the two had signed an agreement to develop the Russian satellite navigation system, Glonass. Russia is hoping to hawk its expertise in manned space missions to India. Maxim Shilov, general director, Glavkosmos, says: "We hope to maximise our ties in space in the coming years."

Attempts to boost the overall trade figure to \$10 billion by 2010 are yet to gather momentum. Diplomatic slights have not helped matters with plenty of heartburn resulting from External Affairs Minister Pranab Mukherjee failing to get an appointment with his counterpart Sergey Lavrov when he visited Moscow last year. Yet, as Prabhat Shukla, India's Ambassador to Russia, says: "In substance, there is no change in the intensity of our engagement with each other and relations between the two countries are as good as ever." Thereby hangs a tale.



PRABHAT SHUKLA

India's Ambassador to Russia

"In substance there is no change in the intensity of our engagement."

by Raj Chengappa